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THE EV INFLUX

IT'S EARLY DAYS FOR FOREIGN CARMAKERS LOOKING AT THE GOVERNMENT SCHEME ON ELECTRIC VEHICLES



Lucid Gravity

The newly announced incentive scheme for foreign carmakers to make EVs in India is about to get off the ground. According to government sources, a lot of carmakers have evinced interest in registering for the scheme. This includes some who are already present in the country as well as new companies taking the opportunity to establish a manufacturing base in India. But that does not mean there will be a long wait for new cars at lower prices, because once registered, these companies can start importing EVs at a duty of 15 per cent as opposed to 70 or 100 per cent as the case may be. The number of cars that can be imported at the incentivised rate is governed by the total amount the company is saving by paying duty at a lower rate. This amount can be equal to the total amount the company has invested under the scheme—the saving being capped at Rs 6,484 crore. Of course, there are a lot more stipulations and caveats to this and it is not as simple as it sounds.

It remains to be seen how many companies will finally avail this scheme (SPMEPCI) to promote manufacturing of passenger electric cars in India. It is almost certain that the one company that this scheme was tailor-made for will not be signing up for it, and will instead be going the CBU (completely built unit) route and paying the prevailing import duty. This may be because Tesla could be hoping for a lowering of tariffs once a bilateral trade agreement is signed between India and the US, or for that matter with any of the territories where it is already making its cars, like the EU.

Other US companies that make EVs are also keenly eyeing the Indian market and awaiting the result of the negotiations and the signing of the trade deal before weighing the best route to enter India. Those that are closely watching the developments are new players like Lucid Motors and Rivian as well as the established players like Ford and General Motors.

Automaker Stellantis has already announced plans to launch its Leapmotor brand of EVs in India while another new emerging EV player from Vietnam, VinFast, even before the launch of SPMEPCI, has made an investment of US $500 million (Rs 4,305.6 crore) to set up a manufacturing facility in Tamil Nadu and will be rolling out its India-made cars, the VF6 and VF7, in the country soon.

It is not certain which routes the various EV companies will take but a number of new and established brands will be available soon in the country, and at much lower price points. ■



VinFast VF6